

Financial Statements

Principles of Accounting
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Let's see more details about each financial statement

재무제표들을 조금 더 자세히 살펴보자

Income Statement

The income statement lists revenues first, followed by expenses. Then, the statement shows net income (or net loss).

Structure:

- The income statement lists revenues first, followed by expenses.
- Then, the statement shows net income (or net loss).
- When revenues exceed expenses, **net income** results.
- When expenses exceed revenues, a **net loss** results.
- The income statement **does not include investment and dividend transactions** between the shareholders and the business in measuring net income.

Income Statement				
Figures in Millions	2020	2021	2022	
Total revenue	\$ 5,254	\$ 5,525	\$ 6,278	
Cost of goods sold (COGS)	2,850	2,869	2,998	
Gross profit	2,404	2,656	3,280	
Selling, general, administrative (SG&A)	1,065	1,125	1,348	
Research & development (R&D)	120	125	129	
Operating income	1,219	1,406	1,803	
Interest expense	102	106	108	
Pretax income	1,117	1,300	1,695	
Taxes	260	299	383	
Net income	857	1,001	1,312	

Income Statement – Question about Net Income

Net income will result during a time period when:

- a. assets exceed liabilities.
- b. assets exceed revenues.
- c. expenses exceed revenues.
- d. revenues exceed expenses.

Retained Earnings Statement

The information provided by this statement indicates the reasons why retained earnings increased or decreased during the period. If there is a net loss, it is deducted with dividends in the retained earnings statement.

Structure:

- The first line of the statement shows the beginning retained earnings amount.
- Then add net income (or subtract net loss) and subtract dividends.
- The retained earnings ending balance is the final amount on the statement.

BUSINESS CONSULTING COMPANY STATEMENT OF RETAINED EARNINGS For the Year Ended December 31, 2015	
Retained earnings at January 1, 2015	\$ 20,000
Add: net income earned in 2015	18,000
Subtotal	38,000
Less: dividends declared in 2015	3,000
Retained earnings at December 31, 2015	\$ 35,000

Statement of Financial Position (Balance Sheet)

The statement of financial position is like a snapshot of the company's financial condition at a specific moment in time (usually the month-end or year-end).

Structure:

Lists assets at the top, followed by equity and then liabilities.

Total assets must equal total equity and liabilities.

When two or more liabilities are involved, a customary way of listing is as shown in Illustration 1.12:

TEDDY FAB INC. BALANCE SHEET December 31, 2100			
ASSETS		LIABILITIES AND SHAREHOLDERS' EQUITY	
Current assets		Current liabilities	
Cash and cash equivalents	\$ 100,000	Accounts payable	\$ 30,000
Accounts receivable	20,000	Notes payable	10,000
Inventory	15,000	Accrued expenses	5,000
Prepaid expense	4,000	Deferred revenue	2,000
Investments	10,000	Total current liabilities	47,000
Total current assets	149,000		
Property and equipment		Long-term debt	200,000
Land	24,300	Total liabilities	247,000
Buildings and improvements	250,000		
Equipment	50,000	Shareholders' Equity	
Less accumulated depreciation	(5,000)	Common stock	10,000
		Additional paid-in capital	20,000
Other assets		Retained earnings	197,100
Intangible assets	4,000	Treasury stock	(2,000)
Less accumulated amortization	(200)	Total liabilities and shareholders' equity	\$ 472,100
Total assets	\$ 472,100		

share capital = Invested money

retained earning=owner's money

Statement of Cash Flows

The statement of cash flows provides information on the cash receipts and payments for a specific period of time.

Structure:

The statement of cash flows reports

- 1) the cash effects of a company's **operations (운영활동)** during a period,
- 2) Its **investing (투자활동)** activities,
- 3) its **financing (재무활동)** activities,
- 4) the **net increase or decrease in cash** during the period, and
- 5) the cash amount at the end of the period.

Cash Flow Statement Company XYZ FY Ended 31 Dec 2023 All Figures in USD		
Cash Flow From Operations		
Net Earnings		2,000,000
Additions to Cash		
Depreciations		10,000
Decrease in Accounts Receivable		15,000
Increase in Accounts Payable		15,000
Increase in Taxes Payable		2,000
Subtractions From Cash		
Increase in Inventory		(30,000)
Net Cash From Operations		2,002,000
Cash Flow From Investing		
Equipment		(500,000)
Cash Flow From Financing		
Notes Payable		10,000
Cash Flow for FY Ended 31 Dec 2023		1,512,000

Financial Statements

- Period Financial Statements vs. Financial Position at a point in time

[Period Financial Statements]

- Income Statement
- Retained Earnings Statement
- Cash Flow Statement
 - Showing a performance over a year

[Financial Position at a point in time]

- Statement of Financial Position (Balance Sheet)
 - A 'snapshot' of finances at a particular moment, like December 31st of a given year
 - Accumulated balances at a point in time

Q) Financial Statement Items

Presented below is selected information related to Li Fashions at December 31, 2025. Li reports financial information monthly.

Equipment	HK\$10,000	Utilities Expense	HK\$ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Dividends	5,000

- a. Determine the total assets of Li at December 31, 2025. $10000+9000+8000=27000$
- b. Determine the net income that Li reported for December 2025. $36000-11000-7000-4000=14000$
- c. Determine the equity of Li at December 31, 2025. $27000-16500-2000=8500$

Let's practice: Analyze the effects of business transactions on the accounting equation

연습문제

Transaction (1). Investment by Shareholders.

Assume: Ray and Barbara Neal decide to start a smartphone app development company that they incorporate as Softbyte SA. On September 1, 2025, they invest €15,000 cash in the business in exchange for €15,000 of ordinary shares. The ordinary shares indicates the ownership interest that the Neals have in Softbyte SA.

Demonstrate: Basic and equation analysis of this transaction.

Transaction (2). Purchase of Equipment for Cash.

Assume: Softbyte SA purchases computer equipment for €7,000 cash.

Demonstrate: Basic and equation analysis of this transaction.

Transaction (3). Purchase of Supplies on Credit.

Assume: Softbyte SA purchases headsets (and other computer accessories expected to last several months) for €1,600 from Mobile Solutions. Mobile Solutions agrees to allow Softbyte to pay this bill in October. This transaction is a purchase on account (a credit purchase).

Demonstrate: Basic and equation analysis of this transaction.

SKIP at this moment, but we will do this later

Equation
Analysis

	€8,000			€7,000				€15,000	
(3)				+€1,600				+€1,600	
	€8,000	+	€1,600	+	€7,000	=	€1,600	+	€15,000
	€16,600						€16,600		

Assets increase because of the expected future benefits of using the headsets and computer accessories, and liabilities increase by the amount due Mobile Solutions.

Transaction (4). Services Performed for Cash.

Assume: Softbyte SA receives €1,200 cash from customers for app development services it has performed. This transaction represents Softbyte's principal revenue-producing activity. Recall that **revenue increases equity**.

Demonstrate: Basic and equation analysis of this transaction.

Transaction (5). Purchase of Advertising on Credit.

Assume: Softbyte SA receives a bill for €250 from *Programming News* for advertising on its website but postpones payment until a later date.

Demonstrate: Basic and equation analysis of this transaction.

Basic
Analysis

The liability Accounts Payable increases €250, and equity decreases €250 due to Advertising Expense.

SKIP at this moment, but we will do this later

$$\underbrace{\begin{matrix} \text{€9,200} & + & \text{€1,600} & + & \text{€7,000} \end{matrix}}_{\text{€17,800}} = \underbrace{\begin{matrix} \text{€1,850} & + & \text{€15,000} & + & \text{€1,200} & - & \text{€250} \end{matrix}}_{\text{€17,800}} \quad \text{Expense}$$

The two sides of the equation still balance at €17,800. Retained Earnings decreases when Softbyte incurs the expense. Expenses do not have to be paid in cash at the time they are incurred. When Softbyte pays at a later date, the liability Accounts Payable will decrease and the asset Cash will decrease. The cost of advertising is an expense because Softbyte has used the benefits. Advertising Expense is included in determining net income.

Transaction (6). Services Performed for Cash & Credit.

Assume: Softbyte SA performs €3,500 of app development services for customers. The company receives cash of €1,500 from customers, and it bills the balance of €2,000 on account.

Demonstrate: Basic and equation analysis of this transaction.

SKIP at this moment, but we will do this later

Equation
Analysis

€ 9,200	€1,600	€7,000	€1,850	€15,000	€1,200	€250		
(6) +1,500	+€2,000				+3,500		Service Revenue	
€10,700 +	€2,000 +	€1,600 +	€7,000	=	€1,850	+ €15,000 +	€4,700 - €250	
€21,300					€21,300			

This transaction results in an equal increase in assets and equity.

Transaction (7). Payment of Expenses.

Assume: Softbyte SA pays the following expenses in cash for September: office rent €600, salaries and wages of employees €900, and utilities €200.

Demonstrate: Basic and equation analysis of this transaction.

Transaction (8). Payment of Accounts Payable.

Assume: Softbyte SA pays its €250 *Programming News* bill in cash. The company previously [in Transaction (5)] recorded the bill as an increase in Accounts Payable and a decrease in equity.

Demonstrate: Basic and equation analysis of this transaction.

Basic

This cash payment “on account” decreases the asset Cash by €250 and also decreases the liability Accounts

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1899

$$(8) \quad \begin{array}{ccccccc} & \text{€} & & & & & \\ & \text{8,750} & + & \text{2,000} & + & \text{1,600} & + & \text{7,000} & = & \text{1,600} & + & \text{15,000} & + & \text{4,700} & - & \text{1,950} \\ & \underbrace{\hspace{10em}} & & & & & & & & \underbrace{\hspace{10em}} & & & & & & & \\ & \text{€19,350} & & & & & & & & \text{€19,350} & & & & & & & \end{array}$$

Observe that the payment of a liability related to an expense that has previously been recorded does not affect equity. Softbyte recorded the expense [in Transaction (5)] and should not record it again.

Transaction (9). Receipt of Cash on Account.

Assume: Softbyte SA receives €600 in cash from customers who had been billed for services [in Transaction (6)].

Demonstrate: Basic and equation analysis of this transaction.

Basic

SKIP at this moment, but we will do this later

Analysis

$$\begin{array}{ccccccc} \text{(9)} & \text{+600} & & \text{-600} & & & \\ \hline \text{€9,350} & + & \text{€1,400} & + & \text{€1,600} & + & \text{€7,000} & = & \text{€1,600} & + & \text{€15,000} & + & \text{€4,700} & - & \text{€1,950} \\ \hline & & & & \text{€19,350} & & & & & & \text{€19,350} & & & & \end{array}$$

Transaction (9) does not change total assets, but it changes the composition of those assets.

Note that the collection of an account receivable for services previously billed and recorded does not affect equity. Softbyte already recorded this revenue [in Transaction (6)] and should not record it again.

Transaction (10). Dividends.

Assume: The company pays a dividend of €1,300 in cash to Ray and Barbara Neal, the shareholders of Softbyte SA. This transaction results in an equal decrease in assets and equity.

Demonstrate: Basic and equation analysis of this transaction.